



Enrichment Exercise # 1

Review the footnote disclosures for a company of your choosing and identify the operating leases. Once the new accounting standards are in effect, these operating leases will be included on the Balance Sheet as an Asset and a Liability along with the related Amortization Expense and Interest Expense on the Income Statement. Would this change your perception of the company?

Yahoo! Provides this footnote disclosure regarding their operating leases. (Find the [Yahoo! 2016 Annual Report here](#) for reference.) These operating lease payments are currently recognized as Rent Expense on the Income Statement. In the future, they will have to calculate the present value of the future lease payments and this value will be recorded as an Asset and a Liability. The Asset will be amortized and the Liability will include interest expense...big changes are coming!

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Note 12 Commitments and Contingencies

Lease Commitments. The Company leases office space and data centers under operating and capital lease agreements with original lease periods of up to 15 years which expire between 2017 and 2025.

Rent expense for all operating leases was approximately \$86 million, \$77 million, and \$60 million for 2014, 2015, and 2016, respectively.

Many of the Company's leases contain one or more of the following options which the Company can exercise at the end of the initial lease term: (i) renewal of the lease for a defined number of years at the then fair market rental rate or at a slight discount to the fair market rental rate; (ii) purchase of the property at the then fair market value; or (iii) right of first offer to lease additional space that becomes available.

A summary of gross and net lease commitments as of December 31, 2016 was as follows (in millions):

	Gross Operating Lease Commitments	Sublease Income	Net Operating Lease Commitments
Years ending December 31,			
2017	\$ 103	\$ (16)	\$ 87
2018	75	(12)	63
2019	60	(9)	51
2020	47	(7)	40
2021	37	(5)	32
Due after 5 years	86	(2)	84
Total gross and net lease commitments	\$ 408	\$ (51)	\$ 357